

DELYSIUM

\$AGI

From Blockchain MMO to “AI Agent Operating System” — A Multi-Year Pivot Story Now Facing an FTX Estate Lawsuit

\$0.004167–\$0.008036 24H PRICE RANGE	\$18.40M MARKET CAP	\$23.52M FDV	2.34B CIRC. SUPPLY	#683 MARKET RANK
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■ UNRESOLVED ITEMS TO WATCH

In April 2025, the FTX Recovery Trust sued Delysium's operating company (Kurosemi Inc.) in Delaware bankruptcy court, alleging it unilaterally extended Alameda Ventures' token vesting schedule from 12 to 48 months and then refused delivery entirely, seeking return of 75 million AGI tokens plus damages; the dispute does not appear resolved as of the sources reviewed (see Section 06 and Section 10). AGI trades roughly 98–99% below its May 2024 all-time high of \$0.6996 (see Section 08). The 24-hour price range in this snapshot spans an unusually wide ~93% (from \$0.004167 to \$0.008036), consistent with extreme, thin-liquidity volatility rather than typical daily movement (see Section 08). No independently disclosed third-party security audit was identified in the sources reviewed (see Section 03).

Blockchain Layer	Multi-chain: originally Ethereum/BNB Chain-focused; 2025 roadmap added Solana integration, Wormhole cross-chain transfers, and planned Base expansion
Protocol Type	AI-agent infrastructure — Lucy (an AI-powered Web3 operating system) and the YKILY Network, a blockchain-based collaboration and financial infrastructure for autonomous AI agents
Founded	Founded 2021 by Queena Tsai and Yuheng Chan under rct AI (Y Combinator-incubated); operating company is Kurosemi Inc., based in Panama City, Panama
Total Raised	\$14.00M across 3 disclosed funding rounds, led by Alameda Ventures (now Maclaurin Investment, part of the bankrupt FTX estate), Galaxy Interactive, Anthos Capital, and Republic
Website	delysium.com; product at lucyos.ai

Research by NBZ / NASIR

Data as of August 17, 2026

01 PROJECT OVERVIEW

Field	Detail
Project Name	Delysium
Ticker	\$AGI
Blockchain Layer	Multi-chain: originally built around Ethereum and BNB Chain; 2025 roadmap added Solana ecosystem integration and Wormhole-based cross-chain transfers, with planned expansion to Base
Protocol Type	AI-agent infrastructure: Lucy, an AI-powered Web3 “operating system” agent, and the YKILY (“You Know I Love You”) Network, positioned as decentralized financial and collaboration infrastructure for autonomous AI agents
Founded	2021, by Queena Tsai and Yuheng Chan, under rct AI, a Y Combinator-incubated AI Metaverse company; the operating entity is Kurosemi Inc., based in Panama City, Panama
HQ	Panama City, Panama (per company-profile data); founding team associated with rct AI
TGE Date	AGI Token Initial Offering, April 11, 2023
Contract Address	Not independently verified from the materials provided — unconfirmed
Website	delysium.com; primary product interface at lucyos.ai
Total Raised	\$14.00M across 3 disclosed rounds (per Tracxn), with an additional token-based SAFT raise from Alameda Ventures in January 2022 now central to active litigation (see Section 06)
Circulating Supply	2.34B AGI (~78.0% of total supply) as of the in-app snapshot reviewed
Max Supply	Not fixed/disclosed in the in-app data (“--”); total supply shown as 3.00B AGI
Current Focus	Growing usage of Lucy Beta V2 (launched July 2025) and the YKILY MCP (Model Context Protocol) standard for coordinating multiple AI agents and models

Delysium has undergone one of the more significant business-model pivots among projects covered in this research series. It launched in 2021–2023 as an AI-driven blockchain MMO video game — an open-world experience where players created AI companions and NPCs, complete with tradeable in-game assets like “MetaBeings” and virtual creatures, and even secured Epic Games Store distribution. Starting around 2024, the project substantially repositioned around a different, broader thesis: rather than AI companions inside a game, Delysium now positions itself as infrastructure for autonomous AI agents generally, centered on Lucy (an AI “operating system” that lets users create and manage on-chain AI agents through natural-language commands) and the YKILY Network, described as decentralized financial and collaboration infrastructure enabling AI agents to communicate, transact, and coordinate with each other.

The problem Delysium says it solves, in its current framing, is twofold: giving non-technical users a way to create and deploy AI agents without programming skills (“vibe-coding,” translating natural-language instructions into deployable agents), and giving those agents a shared, secure, on-chain infrastructure layer (unique cryptographic Agent IDs, immutable activity logging via a system called “Chronicle”) so multiple agents from different developers can interact, verify each other's actions, and transact reliably. This positions Delysium within the broader 2024–2026 “AI agent economy” narrative that has also driven attention to other projects in this space, though Delysium's multi-year operating history and substantial business-model change distinguish it from newer, single-thesis entrants in the same category.

02 TEAM & FOUNDERS

Name	Role	Background
Yuheng Chan	Co-Founder; also CEO of rct AI	Co-founded Delysium in 2021 alongside Queena Tsai; separately leads rct AI, a Y Combinator-incubated company building an “AI Metaverse” that underlies Delysium's technology
Queena Tsai	Co-Founder	Co-founded Delysium in 2021; specific prior professional background not independently detailed in the sources reviewed
Jerry Zhang	Founder / core team (per CB Insights)	Listed as a founder in third-party company-data profiles; also appears to be the team member hosting community AMAs on Delysium's official X account
Additional whitepaper authors	XK, Yannick M. v. Draanen, Quan Fan, Yuchu	Listed as co-authors of Delysium's whitepaper alongside the founders; specific individual roles and backgrounds not independently detailed in the sources reviewed

Delysium's team has a genuine, multi-year public operating history — co-founders Yuheng Chan and Queena Tsai have been publicly associated with the project since 2021, and Chan's parallel role as CEO of rct AI, a Y Combinator-incubated company, provides at least one verifiable, third-party-confirmed institutional affiliation. That said, detailed, independently verifiable professional histories (prior companies, specific technical credentials) for the founding team were not found in the sources reviewed for this report, which limits how confidently investors can assess execution track record from biography alone.

The more significant team-related fact for this report is not biographical but behavioral: according to the FTX Recovery Trust's April 2025 legal complaint, a Delysium company representative stated in a public Discord message that the company would not allocate tokens owed to an investor (Alameda Ventures) because of that investor's bankruptcy proceedings — and the company allegedly did not respond meaningfully to at least 13 separate outreach attempts from FTX's legal and recovery team over roughly 16 months (mid-2023 to late 2024) before litigation was filed. Independent of how the underlying contractual dispute is ultimately resolved, this pattern of conduct — as alleged in a formal court filing — is a meaningful, documented data point about the team's approach to contractual obligations under financial pressure, and is treated in more detail in Section 06 and Section 11.

03 TECHNOLOGY & ARCHITECTURE

Component	Description
Lucy	Delysium's flagship AI "operating system" agent; lets users create, automate, and manage AI agents through natural-language commands rather than code ("vibe-coding")
YKILY Network	Described as "Digital Native Financial Infrastructure for AI Agents" — decentralized infrastructure for AI agent communication, training, collaboration, and permissionless transactions
Agent ID™	A unique cryptographic identifier for each AI agent on the network, using account abstraction and ZK encryption for secure network connections
Chronicle	An immutable logging system that records key AI agent activities and decisions to the blockchain, intended to provide AI accountability and auditability
Model Context Protocol (MCP)	A standard introduced in 2025 for coordinating multiple AI agents and models, supporting complex, multi-agent workflows and third-party integrations
Lucy Beta V2	Released July 15, 2025; adds canvas-based interactions and expanded skill-ecosystem support for building agentic workflows within the crypto ecosystem
Governance Framework	Delysium Governance Framework launched August 28, 2025, formalizing AGI token holder governance participation
Security Audits	No independently disclosed, named third-party security audit of Delysium's smart contracts or AI-agent infrastructure was identified in the sources reviewed

In plain terms, Lucy functions like a conversational assistant specifically built for crypto tasks: rather than manually navigating decentralized exchanges, bridges, and dApps, a user tells Lucy what they want to accomplish in plain language (for example, buying a specific amount of a token), and Lucy plans and executes the necessary steps across connected protocols. The YKILY Network is the underlying infrastructure layer this depends on — each AI agent gets a unique, cryptographically secured identity (Agent ID) so that other agents and users can verify who or what they're interacting with, and Chronicle provides an audit trail of what actions each agent has taken, addressing a real and increasingly discussed concern in the AI-agent space: how do you trust and verify the actions of an autonomous system acting on your behalf, or on behalf of another party?

The Model Context Protocol (MCP) integration, introduced in mid-2025, aligns Delysium with a broader, industry-wide standardization effort around how AI agents and models coordinate — MCP is not a Delysium-specific invention but an emerging cross-industry standard, and Delysium's adoption of it is a reasonable, interoperability-minded technical choice rather than a proprietary lock-in approach. The clearest gap in Delysium's public technical disclosure is the same one seen across several AI-and-crypto projects in this research series: no named, independent security audit of the core smart contracts or agent infrastructure was identified, a meaningful concern for a platform whose core value proposition involves AI agents autonomously executing financial transactions on users' behalf.

04

USE CASES & REAL-WORLD APPLICATIONS

Use Case	Description	Status
Natural-Language Crypto Workflows	Users direct Lucy in plain language to execute crypto tasks (swaps, transfers, purchases) across connected Ethereum and BSC dApps	Live
Trading & Market Intelligence Agents	Specialized agents within the network monitor token contracts, transaction data, and find efficient DEX routing	Live
Lucy Beta V2 / Agent Creation	No-code agent creation and automation via natural language, with canvas-based visual workflow building	Live
YKILY MCP Standard	Multi-agent and multi-model coordination for complex, cross-platform workflows and third-party integrations	Live (introduced mid-2025)
On-Chain AI Agent Accountability (Chronicle)	Immutable logging of agent decisions and actions for auditability	Live
AGI Token Governance	Token holder participation in ecosystem decisions via the August 2025 Governance Framework	Live
Legacy Blockchain MMO / MetaBeings	Delysium's original 2021–2023 product line — an open-world game with AI companions and tradeable virtual assets, including Epic Games Store distribution	Legacy / status unclear

Delysium's current, actively marketed use cases center entirely on its AI-agent pivot — Lucy and the YKILY Network are the products featured in the company's own 2025–2026 roadmap and blog activity, with a consistent cadence of updates (Lucy Beta V2 in July 2025, the MCP standard introduction, a governance framework launch in August 2025, and continued “Lucy Skill Ecosystem” and “technical progress” updates through at least August 2026 per the company's own event calendar). This is a genuinely active, still-developing product, not an abandoned one, and the natural-language, no-code positioning is a reasonable response to a widely recognized barrier (technical complexity) limiting mainstream crypto adoption.

What is notably absent from current company communications is any continued emphasis on Delysium's original blockchain-MMO product line and its MetaBeings/virtual-creature assets — the project's own public timeline on delysium.com jumps from 2023's whitepaper and Microsoft partnership announcements directly into the 2024 “Creating a Network of AI Agents” framing, without a clear public statement about what happened to the original game or its player base. This kind of unexplained, undisclosed pivot away from an earlier core product is worth flagging directly: it may reflect a reasonable strategic response to shifting market opportunity (the AI-agent narrative genuinely grew substantially through 2024–2025), but it also means any evaluation of Delysium's “track record” should focus specifically on the AI-agent product line's roughly two-year history rather than crediting the full multi-year Delysium brand history to the current business.

05 COMMUNITY & ECOSYSTEM

Metric	Data
Social Channels	X (Twitter) — @The_Delysium; active posting cadence including a published August 2026 event calendar and regular community AMAs
Named Backing (per company claims)	Company materials state Delysium has received support alongside Microsoft, Google, and Nvidia references, and cite Y Combinator, Galaxy Interactive, Republic Crypto, Immutable, Polygon, Antalpha Ventures, GSR, and Blockchain Coinvestors as supporters — the specific nature of the Microsoft/Google/Nvidia relationships (partnership vs. general industry reference) was not independently confirmed in the sources reviewed
Partnership Announcements	Company timeline cites a partnership with Google (Sep 2023), Microsoft (Nov 2023), and University College London – UCL (Sep 2025); specific scope and terms of these partnerships were not independently detailed in the sources reviewed
Exchange Listings	Bithumb, Bitvavo, Bybit, Gate, KuCoin, MEXC, BingX, HashKey Global, PancakeSwap, Raydium
Charitable Activity	Company timeline cites a donation for South Korea wildfire relief (Mar 27, 2025)
Market Rank	#683 (in-app Overview) / #647 (in-app Markets/Vesting pages) — minor internal inconsistency reflecting different snapshot times

Delysium's community and partnership narrative includes some genuinely notable names — a real, independently confirmed Y Combinator incubation (via rct AI) and listings on a broad set of exchanges spanning multiple regions (Bithumb and HashKey Global reflecting Asian market reach, Bitvavo reflecting European presence). The company's own website timeline is detailed and consistently updated through 2025 and into 2026, which is a reasonable signal of continued operational activity.

That said, several of the more headline-grabbing claims — particularly being listed “alongside Microsoft, Google, and Nvidia, other prominent pioneers in the AI industry” — are phrased ambiguously enough in company materials that it is not clear whether these represent formal partnerships, informal ecosystem references, or simply rhetorical positioning; the September 2023 “Partnership with Google” and November 2023 “Partnership with Microsoft” timeline entries were not corroborated by independent, named confirmation from Google or Microsoft in the sources reviewed for this report. Investors should treat these specific partnership claims as unconfirmed company statements rather than independently verified facts, distinct from the Y Combinator affiliation and exchange listings, which are more directly checkable.

06 INVESTORS & PARTNERSHIPS

Funding Rounds

Round	Date	Amount	Valuation	Notes
Seed / Early Round	Mar 13, 2022	Part of \$14.00M total	Unconfirmed	Anthos Capital, Republic, others
SAFT (Alameda Ventures)	Jan 2022	\$1.00M	N/A (token rights)	Alameda Ventures (now Maclaurin Investment); rights to 75M AGI tokens — now the subject of active FTX estate litigation
Strategic / Additional Rounds	Various, through 2023	Remainder of \$14.00M total	Unconfirmed	Galaxy Interactive (Lead), GSR, P2 Ventures, and additional participants

Investor Roster

Tier	Investor	Type
Tier 2	Republic (Lead)	Venture
Tier 2	GSR	Venture
Tier 2	P2 Ventures	Venture
Tier 2	Infinity Ventures	Venture
Tier 3	Galaxy Interactive (Lead)	Venture
Tier 3	Anthos Capital (Lead)	Venture
Tier 3	Formless Capital / LucidBlue Ventures / Tess Ventures / y2z Ventures / Jets Capital	Venture
Tier 4	Antalpha Global / Zonff Partners / Blockchain Coinvestors / Ancient8 / Leonis Capital	Venture
Other	Alameda Research / Alameda Ventures (Lead)	Venture — now part of the bankrupt FTX estate
Other	Mask Network	Corporation
Other	YGG SEA / PathDAO / Perion / Metasense DAO	DAO
Other	Immutable / UniX Gaming	Corporation

Delysium's investor roster is broad and includes several genuinely credible names — Galaxy Interactive is a well-regarded gaming/metaverse-focused fund, GSR is a major crypto market maker and investor also seen backing several other projects in this research series, and Immutable's participation (as both an investor and a listed technology partner) connects Delysium to established Web3 gaming infrastructure. Y Combinator's incubation of rct AI, Delysium's parent studio, adds a further layer of credibility distinct from the token-specific fundraising.

The single most important fact in this section, however, is Alameda Research/Alameda Ventures' role as a lead early investor — a relationship that has evolved from a funding credential into active litigation. Per the FTX Recovery Trust's April 2025 complaint filed in Delaware bankruptcy court, Alameda Ventures paid \$1 million in January 2022 for rights to 75 million AGI tokens under a Simple Agreement for Future Tokens (SAFT), with an original vesting schedule of 20% unlocking after a 12-month cliff and the remainder unlocking quarterly. The complaint alleges Delysium unilaterally extended that schedule to 48 months without consent, and a company representative stated in a public Discord message that the company would not allocate tokens to FTX because of its bankruptcy — despite Delysium itself having maintained an FTX.com account and filed its own bankruptcy claim for over \$243,000. The lawsuit seeks the return of the tokens, damages, and sanctions for alleged bankruptcy-law violations; no resolution or settlement was identified in the sources reviewed for this report, meaning the matter appears to remain a live, unresolved legal liability for the company as of the data-as-of date.

07 TOKENOMICS

Parameter	Detail
Total Supply	3,000,000,000 AGI (per in-app data)
Max Supply	Not fixed/disclosed in the in-app data (shown as "--") — investors should independently confirm whether AGI has a hard supply cap
Circulating Supply	2.34B AGI (~78.0% of the 3.00B total supply shown) as of the in-app snapshot reviewed
TGE Date	April 11, 2023
Original SAFT Vesting Terms (disputed)	Per the FTX litigation, original SAFT terms called for 20% unlocking after a 12-month cliff, then quarterly unlocks; Delysium is alleged to have unilaterally extended this to 48 months for at least one investor

Category	%	Tokens	Vesting / Notes
Treasury	57.00%	1.710B	47.8% unlocked, 9.17% locked — by far the largest allocation, already substantially released
Team	20.00%	0.600B	Fully unlocked (100%) per the in-app snapshot — notable given the FTX litigation's core dispute is specifically about an investor's tokens remaining unallocated while other tranches show full release
Private Sale	10.00%	0.300B	Fully unlocked (100%)
Strategic Sale	10.00%	0.300B	9.46% unlocked, 0.54% locked — nearly fully released
Market Maker	2.00%	0.060B	Fully unlocked (100%)
Airdrop	1.00%	0.030B	Fully unlocked (100%)

AGI's tokenomics show an unusually mature unlock profile for a token that launched in 2023: five of the six listed allocation categories (Team, Private Sale, Market Maker, Airdrop, and nearly all of Strategic Sale) show 100% or near-100% unlocked status, and even the large Treasury allocation is nearly half released. This is consistent with AGI being over three years past its TGE, well beyond the vesting cliffs and schedules that create near-term dilution concerns for newer tokens covered elsewhere in this research series.

The critical context this unlock data adds to the FTX litigation (Section 06) is worth stating plainly: with Team, Private Sale, and Market Maker allocations all showing full release, and Treasury nearly half released, the specific claim at the center of the lawsuit — that Delysium refused to allocate a particular investor's already-contracted tokens while apparently distributing other tranches on schedule — is consistent with a scenario where the company continued normal token operations for itself and other stakeholders while specifically withholding delivery from one investor citing that investor's bankruptcy. Whether that decision was legally justified is a matter for the court to resolve, but the tokenomics data itself does not suggest a company-wide operational freeze or broader vesting dispute — it appears to be a targeted, single-counterparty issue.

08 MARKET OVERVIEW

Metric	Data
Price (24h range)	\$0.004167 – \$0.008036 (in-app) — an unusually wide ~93% intraday range, consistent with thin-liquidity, high-volatility trading rather than typical daily price movement
Market Cap	\$18.40M (in-app)
Fully Diluted Valuation	\$23.52M (in-app)
24h Volume	\$33.49M (in-app) — notably larger than the token's own market cap, a volume-to-market-cap ratio (~1.8x) indicating intense trading activity relative to AGI's size
All-Time High	\$0.6996 (in-app) / \$0.672 (per FTX litigation coverage), reached May 2024
All-Time Low	\$0.002176 (in-app)
Market Rank	#683 (in-app Overview) / #647 (in-app Markets/Vesting pages)
Notable Listings	Bybit, Gate, DigiFinex, Bitrue, KuCoin, MEXC, BYDFi, Bitunix, CoinEx, plus Bithumb, Bitvavo, BingX, HashKey Global

AGI's price history shows a familiar pattern for a multi-year-old token that peaked during a favorable market and speculative narrative window: an all-time high near \$0.67–\$0.70 in May 2024 (independently corroborated by both the in-app data and third-party litigation coverage), likely coinciding with the broader AI-crypto narrative's initial surge, followed by a decline of roughly 98–99% to the current data-as-of range. This decline is more severe than several other AI-agent-adjacent tokens covered in this research series and reflects both the general normalization of speculative AI-crypto valuations since their 2024 peaks and Delysium's specific, still-unresolved legal and business-model-transition overhang.

The unusually wide 24-hour price range captured in this specific snapshot (more than doubling from low to high within the window) combined with 24h volume exceeding the token's entire market cap is worth flagging as a distinct, near-term data point: this level of intraday volatility is more consistent with a low-liquidity token experiencing a sharp, possibly news-driven price event than with routine daily trading. Investors should treat this specific snapshot's price figures as reflecting an unusually volatile moment rather than a stable, representative price level, and should check current data directly before making any decisions based on the figures in this report.

09 COMPETITORS & MARKET POSITION

Project	Type / Focus	Scale	vs. Delysium
Virtuals Protocol (VIRTUAL)	Leading Web3 AI-agent launch platform on Base; token-required agent creation and trading	Category leader by agent-launch volume as of late 2024–early 2025	Tightly binds token utility to agent creation (VIRTUAL is consumed to launch/trade agents), a more direct value-capture design than Delysium's broader infrastructure positioning; widely viewed as the current AI-agent-crypto category leader
ai16z / ElizaOS (AI16Z)	Open-source AI-agent framework and AI-managed investment DAO	Reached a peak valuation near \$2.5B; NAV-to-market-cap ratios have drawn scrutiny	"Bazaar" open-framework model (like Android) vs. Delysium's more centrally operated Lucy product; ElizaOS's value does not flow back to its token as directly, a similar structural tension to Delysium's own token-value-capture question
Spectral	Modular multi-agent framework for on-chain tasks, governance, and trading	\$29.75M+ raised (per CB Insights), smaller than Delysium's \$14M by comparison is actually larger	A closer structural peer to Delysium — both are US/Panama-based, venture-backed AI-agent infrastructure plays, though Spectral has raised more capital across its history
MyShell / NOUS / CENTS	Additional AI-agent and AI-model platforms referenced alongside Virtuals and ai16z in industry roundtable discussions	Varies; smaller/earlier-stage than Virtuals or ai16z	Represent the broader, crowded field of AI-agent-crypto entrants Delysium competes with for developer and user attention

The AI-agent-crypto category that Delysium repositioned into starting in 2024 is intensely competitive and populated by better-capitalized, more narrative-dominant rivals. Virtuals Protocol has established itself as the category's most prominent token-utility leader by directly requiring its token for agent creation and trading, and ai16z/ElizaOS achieved a peak valuation (~\$2.5B) an order of magnitude larger than Delysium's entire fully diluted valuation, despite launching well after Delysium's original 2021 founding. This places Delysium in the unusual position of being one of the category's longer-tenured entrants by founding date, yet one of the smaller and less narrative-visible players by current market standing — its multi-year head start has not translated into a leading competitive position.

A structural challenge shared across much of this category, including Delysium, is unclear token value capture: independent analysis of ai16z/ElizaOS specifically notes that its open-framework model does not strongly bind value back to its own token, a tension that applies with similar force to Delysium's AGI, whose utility (governance, staking) is real but not as tightly and mechanically connected to platform usage as Virtuals' consumption-based model. Given Delysium's smaller scale, its unresolved legal overhang, and this shared category-wide token-value-capture challenge, competing for developer and user attention against better-resourced, more narratively dominant rivals represents a genuine, ongoing challenge rather than a solved problem.

10 RECENT NEWS & UPDATES

Date	Event
2021	Delysium founded by Queena Tsai and Yuheng Chan under rct AI (Y Combinator-incubated), originally as an AI-driven blockchain MMO game
Jan 2022	Alameda Ventures pays \$1M via SAFT for rights to 75 million AGI tokens — now the subject of active litigation
Mar 13, 2022	First disclosed institutional funding round closes (part of \$14M total raised)
Apr 11, 2023	AGI Token Initial Offering (TGE)
Sep–Nov 2023	Company timeline cites partnerships with Google (Sep 6) and Microsoft (Nov 15); specific scope not independently confirmed
Oct 2023	Per FTX litigation, a Delysium representative states via public Discord message that the company will not allocate tokens to FTX due to its bankruptcy proceedings
Dec 31, 2024	Lucy Private Beta Release, per the company's own timeline, alongside a broader shift toward AI-agent-network positioning
May 2024	AGI reaches its all-time high of approximately \$0.67–\$0.70
Jan 24, 2025	AGI listed on HashKey Global
Mar 26, 2025	AGI listed on Bitvavo Exchange
Mar 27, 2025	Delysium announces a donation for South Korea wildfire relief
Apr 29, 2025	FTX Recovery Trust and FTX Trading file a lawsuit in Delaware bankruptcy court against Kurosemi Inc. (Delysium), seeking return of 75 million AGI tokens, damages, and sanctions for alleged bankruptcy-law violations, following 13 unsuccessful outreach attempts since mid-2023
Jul 15, 2025	Lucy Beta V2 launches, introducing “vibe-coding” natural-language agent creation and Model Context Protocol (MCP) support
Aug 28, 2025	Delysium Governance Framework launches, formalizing AGI holder governance participation
Sep 22, 2025	Company timeline cites a partnership with University College London (UCL)
Aug 2026 (data-as-of)	AGI trades in the \$0.004–\$0.008 range with continued active product-update cadence (Lucy Skill Ecosystem, technical progress updates) per the company's own August 2026 event calendar; the FTX litigation does not appear to have been publicly resolved as of the sources reviewed

Delysium's timeline reveals two parallel, somewhat disconnected storylines: a consistently active, still-updating product-development track (Lucy Beta V2, MCP standard adoption, a formal governance framework, an academic partnership with UCL, and an ongoing 2026 event calendar), and an unresolved, serious legal dispute originating from the project's earliest fundraising activity. These two threads matter differently for different aspects of an investment decision: the product timeline speaks to the team's continued execution capability and willingness to adapt (the AI-agent pivot), while the FTX litigation speaks to governance, contractual reliability, and legal risk exposure independent of product quality.

No resolution, settlement, or dismissal of the FTX Recovery Trust's lawsuit was identified in the sources reviewed as of the data-as-of date, meaning this should be treated as an active, unresolved legal matter rather than historical noise. No additional security incidents or exploits were identified in the sources reviewed. The overall pattern is a project that has kept building through a difficult multi-year stretch (a business-model pivot, a severe price decline, and ongoing litigation) without publicly abandoning its roadmap — a genuinely relevant resilience signal, even as the underlying legal and valuation concerns remain

unresolved.

11 INVESTMENT POTENTIAL & RISKS

▲ BULL CASE

- A genuinely long-tenured team (founded 2021) with a real, independently confirmed Y Combinator incubation (via rct AI) and a credible investor list including Galaxy Interactive, GSR, and Immutable.
- Consistently active product development through 2025–2026 (Lucy Beta V2, MCP standard adoption, a formal governance framework, an academic UCL partnership), evidencing continued execution despite a difficult multi-year stretch.
- A mature, largely de-risked unlock schedule — most allocation categories (Team, Private Sale, Market Maker, Airdrop) are already fully unlocked, meaning minimal near-term scheduled dilution risk relative to newer tokens in this research series.
- Genuine technical substance in its AI-agent accountability design (Chronicle immutable logging, cryptographic Agent IDs), addressing a real, increasingly discussed trust problem in autonomous AI systems.
- Trading volume exceeding market cap indicates AGI retains real, active market liquidity and trading interest despite its severe price decline from highs.

▼ BEAR CASE

- An active, unresolved lawsuit from the FTX Recovery Trust alleging Delysium's operating company unilaterally altered a signed vesting agreement and refused token delivery to an investor, with no publicly identified settlement or resolution as of the data-as-of date — a serious, documented governance and contractual-reliability concern.
- AGI trades approximately 98–99% below its May 2024 all-time high, one of the more severe declines among tokens covered in this research series.
- A substantial, largely unexplained business-model pivot from Delysium's original blockchain-MMO product (with no clear public accounting of what happened to that product line or its users) complicates assessment of the team's full track record.
- No independently disclosed third-party security audit of Delysium's smart contracts or AI-agent infrastructure was identified, a meaningful gap for a platform whose core function involves AI agents autonomously executing financial transactions.
- Several headline partnership claims (Google, Microsoft) are ambiguously phrased in company materials and were not independently corroborated by the named partners in the sources reviewed.
- Operates in an intensely competitive AI-agent-crypto category against better-capitalized, more narratively dominant rivals (Virtuals Protocol, ai16z/ElizaOS) despite Delysium's earlier founding date.

Risk Factor Detail

Risk	Detailed Explanation
Active FTX Estate Litigation	A formal Delaware bankruptcy court complaint alleges Delysium's operating company unilaterally extended an investor's vesting schedule from 12 to 48 months and then refused delivery entirely, with a company representative allegedly confirming this refusal in writing; this is a documented, court-filed allegation with no identified resolution, representing genuine legal and reputational exposure.
Severe, Sustained Valuation Decline	A ~98–99% decline from all-time high, well beyond typical post-peak corrections seen elsewhere in this research series, suggests deep and sustained market skepticism independent of the project's continued product development.
Unexplained Business-Model Pivot	The shift from a blockchain-MMO game to AI-agent infrastructure was not accompanied, in the sources reviewed, by a clear public accounting of the original product's fate — a transparency gap worth weighing when assessing the team's track record.

Risk	Detailed Explanation
Unaudited AI-Agent Financial Infrastructure	No named third-party audit of the smart contracts or agent infrastructure underlying autonomous, agent-executed financial transactions was identified — a significant gap given the specific, elevated risk of AI agents transacting with real value.
Unverified Partnership Claims	Ambiguously worded “partnership” claims involving Google and Microsoft were not independently corroborated by the named companies in the sources reviewed, and should be treated as unconfirmed company statements.
Intense, Better-Resourced Competition	Virtuals Protocol and ai16z/ElizaOS have both achieved substantially greater scale and narrative dominance in the same AI-agent-crypto category despite launching after Delysium, indicating Delysium's multi-year head start has not converted into a leading competitive position.

NBZ RESEARCH VERDICT

Delysium presents a genuinely difficult evaluation because its strongest and weakest signals point in sharply different directions. On one hand, this is a real, multi-year-operating team with credible institutional backing (Y Combinator, Galaxy Interactive, GSR, Immutable) that has kept building and shipping through a significant business-model pivot and a severe, sustained price decline — evidence of real resilience and continued technical effort. On the other hand, the active FTX Recovery Trust lawsuit is a serious, documented, court-filed allegation of contractual bad faith that has no identified resolution, and it is precisely the kind of governance red flag that should weigh heavily on any assessment of trustworthiness, independent of how genuine or well-built the underlying AI-agent product may be. Combined with an unexplained pivot away from the project's original product line and an unaudited codebase handling autonomous agent transactions, this is not a project to approach with confidence in current management's contractual reliability, whatever the technical merits of Lucy and the YKILY Network. What would meaningfully improve this picture: a public resolution or settlement of the FTX litigation on terms that don't reflect further bad-faith conduct; a published, independent security audit of the AI-agent transaction infrastructure; and clearer, more specific substantiation of the Google/Microsoft partnership claims. The most critical risks are the unresolved litigation, the severe and sustained valuation decline, and the unexplained product pivot. Positioning: given the combination of a real, still-active product team and a serious, unresolved legal/governance red flag, this is a project where the legal overhang specifically should be treated as a primary, not secondary, factor in any decision — appropriate only for allocations sized with the clear understanding that a formal court allegation of contract-breaking conduct toward a prior investor remains outstanding.

Sources Consulted: Delysium's official website (delysium.com) and [whitepaper](https://delysium.gitbook.io/whitepaper) (delysium.gitbook.io/whitepaper); in-app market data screenshots provided by the user (Aug 2026 snapshot); Messari and CoinMarketCap for market and roadmap data; Decrypt, CryptoPotato, CryptoRank.io, CryptoSlate, BitcoinEthereumNews, CoinCodeCap, Blockonomi, and CoinCentral for FTX Recovery Trust litigation coverage; Chainwire, CryptoSlate, CryptoAdventure, and GlobeNewswire (via ABC27) for Lucy/YKILY Network product announcements; iexplaincrypto.com and Tracxn for team background and company-profile data; CB Insights for competitive-landscape comparison data; Delphi Digital, ChainCatcher, and X (Twitter) commentary for AI-agent-crypto competitive context (Virtuals Protocol, ai16z/ElizaOS, Spectral).

NOT FINANCIAL ADVICE.